

Top line recovery but GPM still under pressure

Quick Note

Shenzhen T&S (T&S) reported 1H26 results on 14 Aug after market close, with revenue / earnings recording 20.8% / 1.7 y-y growth, translating into 44.16% / 17.6% y-y revenue / earnings growth in 2Q26. After three quarters of top line slides, the company finally delivered better business momentum due to healthy demand for optical communication products i.e. MPO (Multi Push-On) connector, as well as capacity expansion. However, the company's GPM declined 3.12pp y-y (down 4.53pp q-q) to 33.27% in 2Q26, which was likely driven by higher component costs (i.e. fiber, ferrule), and unfavorable regional exposure, in our view. The overseas market revenue (+2.7% y-y) significantly underperformed the China market (+104.4% y-y) in 1H26, which raised our concerns about more intensified competition and market share loss from the key global AI customer. Despite the healthy upward trend in the global optical communication market, we think the company remains in a tough position, as the customer's DE-concentration may lead to more pressure on its profitability. We maintain Neutral and TP of CNY138, based on 45x FY27F EPS of CNY3.06, in line with FY26-28F earnings CAGR of 45%. The stock currently trades at 52.8x FY27F EPS. We prefer InnoLight (300308 CH, Buy) in the optical communication sector.

Rating Remains **Neutral**

Target price Remains **CNY 138.00**

Closing price 14 August 2026 **CNY 161.50**

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Fig. 1: Shenzhen T&S - 1H26 & 2Q26 earnings summary

CNY mn	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	y-y	q-q	1H24	2H24	1H25	2H25	1H26
	A	A	A	A	A	A							
Turnover	371	458	386	332	341	660	44%	94%	510	868	828	718	1,001
% chg yoy	66%	60%	-5%	-28%	-8%	44%			31%	76%	62%	-17%	21%
COGS	(215)	(291)	(246)	(207)	(212)	(441)			(348)	(540)	(506)	(453)	(653)
Gross Profit	156	167	139	126	129	220			162	328	323	265	348
OPEX	(62)	(65)	(41)	(72)	(53)	(101)			(73)	(117)	(128)	(113)	(155)
Operating Income	94	101	98	54	76	118	17%	56%	89	211	195	152	194
% chg yoy	176%	84%	34%	-61%	-19%	17%			23%	138%	119%	-28%	-1%
Finance Expense	5	4	3	(7)	(13)	(13)			14	18	9	-	(26)
Pretax income	95	101	100	54	77	118	17%	52%	91	213	196	153	195
% chg yoy	167%	84%	32%	-61%	-19%	17%			25%	132%	117%	-28%	0%
Tax	(14)	(6)	(11)	(10)	(10)	(3)			(10)	(24)	(20)	(22)	(13)
Minority expenses	(2)	(1)	(1)	(5)	(2)	(4)			(1)	(7)	(3)	(6)	(6)
Profit to shareholders	79	94	87	39	66	111	18%	68%	80	182	173	126	176
% chg yoy	150%	97%	31%	-67%	-17%	18%			11%	118%	118%	-31%	2%
EPS (Diluted)	0.35	0.41	0.38	0.17	0.29	0.49			0.35	0.80	0.76	0.55	0.78
Ratio Analysis													
GPM	42.1%	36.4%	36.2%	37.8%	37.8%	33.3%	-3.1pp	-4.5pp	31.8%	37.8%	38.9%	36.9%	34.8%
OPEX	16.8%	14.3%	10.6%	21.7%	15.6%	15.4%	1.1pp	-0.2pp	14.4%	13.5%	15.4%	15.7%	15.4%
OPM	25.3%	22.1%	25.5%	16.1%	22.2%	17.9%	-4.2pp	-4.3pp	17.4%	24.4%	23.5%	21.2%	19.4%
NPM	21.4%	20.5%	22.5%	11.6%	19.3%	16.7%	-3.8pp	-2.6pp	15.6%	20.9%	20.9%	17.5%	17.6%

Source: Company data, Nomura research

Appendix A-1

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Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Zhongji InnoLight	300308 CH	CNY 943.00	14-Aug-2026	Buy	N/A	
Shenzhen T&S Communication	300570 CH	CNY 161.50	14-Aug-2026	Neutral	N/A	

Zhongji InnoLight (300308 CH)

CNY 943.00 (14-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)

Zhongji InnoLight



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of HKD1,375.00 is based on 21x 2027F EPS of CNY65.47, in line with its A-share historical median P/E. The benchmark index is Hang Seng Index.

Risks that may impede the achievement of the target price Downside risks: 1) weaker-than-expected demand for high-end optical modules in both the datacom and telecom markets; 2) fierce competition in the 400G and 800G optical modules segments; 3) slower-than-expected product upgrades (i.e., 800G, 1.6T); and 4) escalated price war which may affect company's export to global customers.

Shenzhen T&S Communication (300570 CH)

CNY 161.50 (14-Aug-2026) Neutral (Sector rating: N/A)

Rating and target price chart (three year history)

Shenzhen T&S Communication



Date	Rating	Target price	Closing price
10-Apr-26	Neutral		127.15
10-Apr-26		138.00	127.15
09-Jan-26		148.00	115.54
19-Aug-25	Buy		128.14
19-Aug-25		153.00	128.14

Source: LSEG, Nomura

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of CNY138.00 is based on 45x 2027F EPS of CNY3.06, in line with FY26-28F earnings CAGR of 45%. The benchmark index is CSI300.

Risks that may impede the achievement of the target price Downside risks include: (1) weaker-than-expected demand for optical component market; (2) weaker-than-expected CPO penetration; (3) top customer's supply chain diversification; and (4) geopolitical risks.

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